

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

AGRIBUSINESS HOLDINGS LIMITED PARTNERSHIP D/B/A
BRIDGEWELL AGRIBUSINESS, LLC, *Claimant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 2022(I)

Served: September 29, 2025

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant Agribusiness Holdings Limited Partnership d/b/a Bridgewell Agribusiness, LLC (“Bridgewell”) initiated this proceeding by filing an informal complaint on December 17, 2024, at the Federal Maritime Commission (“FMC” or “Commission”) against COSCO Shipping Lines (North America), Inc. (“CSLNA”).² Bridgewell alleged that CSLNA violated 46 U.S.C. §§ 41102(c), 41102(d)(2), and 41104(a) and (d) of the Shipping Act by failing to issue invoices for demurrage and detention charges imposed against Bridgewell’s cargo. Bridgewell further alleged that Respondent’s invoices failed to comply with section 41104(d)’s requirements regarding information that demurrage and detention invoices must contain, “and did not serve the FMC’s ‘Incentive Principle’” at 46 C.F.R. § 545.5 of the Commission’s Rules and Regulations. In addition, Bridgewell alleged that CSLNA’s invoices did not comply with the FMC’s regulations at 46 C.F.R. Part 541.

On July 16, 2025, Bridgewell filed an Amended Claim which retained all allegations in the prior Claim but replaced COSCO Shipping Lines (North America), Inc. with COSCO Shipping Lines Co., Ltd. (“COSCO”) as the sole respondent in the proceeding. Claimant seeks a reparations award in the amount of \$43,780.00 for payments it claims to have made for the charges in question.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² This is the fifth of five small claims cases filed by Bridgewell since December 2024, including Docket Nos. 2020(I), 2021(I), 2022(I), 2023(I), and 2024(I).

A. Background and Procedural History

In 2022, COSCO transported a number of shipments for Bridgewell from foreign destinations to the United States by ocean. Between July and December of 2022, some of those shipments incurred demurrage charges which Bridgewell paid, but afterwards initiated this proceeding against COSCO, alleging that COSCO did not issue invoices compliant with the requirements under sections 41104(a) and (d) of the Ocean Shipping Reform Act of 2022, (“OSRA 2022”) for those charges. Bridgewell also alleges that COSCO violated sections 41102(c) and (d) of the Shipping Act and failed to comply with the Commission’s directive at 46 C.F.R. § 545.5(c) that demurrage and detention practices should serve “their intended primary purposes as financial incentives to promote freight fluidity.” Bridgewell contends that it is entitled to a refund of its payments for those invoices.

On December 29, 2024, the Secretary of the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), notifying CSLNA of the Claim and instructing it to file a response by January 13, 2025, and to indicate whether it consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the Claim. Notice at 1. The Secretary also assigned this proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding.

CSLNA acknowledged receipt of the claim and requested an extension of time to file its answer, indicating that it wished to engage in discussions with Claimant and hopefully resolve the issue. CSLNA was granted an extension until February 10, 2025, to file its response but failed to submit a response by the provided deadline. On March 4, 2025, CSLNA filed its answer (“CSLNA Answer”), supported by exhibits, and consented to the use of the informal procedures for the adjudication of the proceeding. On March 14, 2025, the Chief ALJ assigned this proceeding to the undersigned for adjudication.

Pursuant to 46 C.F.R. § 502.304(a) and (e) of the Commission’s Rules of Practice and Procedure, which authorize the SCO in a Subpart S proceeding to request, if deemed necessary, additional documents or information from the parties, on May 29, 2025, the undersigned issued a request for Additional Information (“Request for Supplemental Information” or “RSI”) to the parties, which also included an Order to Amend Complaint permitting Claimant to amend its Claim to add COSCO as a respondent in the proceeding. The RSI explained in relevant part:

Respondent CSLNA asserts that it is the U.S. agent for COSCO SHIPPING Lines Co., Ltd. (“COSCO”). Answer, Pg. 2 at No. 5.1 Pursuant to Commission caselaw, an agent may only be named as a respondent in a proceeding if the agent’s principal is also a respondent in the proceeding. See, e.g., *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Servs. Agreement*, Docket No. 1966(I), 2022 WL 18068977 (FMC 2022). Bridgewell is hereby granted permission to file an amended complaint, should it choose to do so, by June 5, 2025, for the sole purpose of naming COSCO SHIPPING Lines Co., Ltd. as a respondent in this proceeding. Bridgewell should make no other changes to the Complaint other than as directed above otherwise the Amended Complaint will be rejected.

RSI at 1.

The RSI directed the parties to provide certain information and documents by June 19, 2025, and permitted any party wishing to file a response to the opposing party's submission to do so by July 3, 2025. On June 19, 2025, Claimant submitted responses to the RFI ("C. Supp. Info") along with exhibits ("Exs. A-C"). CSLNA responded on June 20, 2025, on behalf of COSCO Shipping Lines Co., Ltd. ("R. Supp. Info"). In addition, Claimant submitted an amended claim on July 16, 2025, substituting CSLNA with COSCO as the sole respondent in the proceeding.³ On July 17, 2025, the Secretary of the Commission issued a Notice of Filing of Amended Small Claims Complaint. On August 11, 2025, COSCO timely filed its answer to the complaint ("COSCO Answer"). Neither party submitted a reply to the other's RFI response. The record is ripe for a decision.

As discussed in greater detail below, Bridgewell failed to demonstrate that COSCO violated sections 41102(c) and (d). However, Claimant has demonstrated that COSCO violated sections 41104(a)(15) and (d). Reparations in the amount of \$24,328.80 are therefore awarded to Bridgewell, equal to the total received by COSCO for the demurrage payments for which violations have been found.

B. Argument of the Parties

1. Claimant Bridgewell's Arguments

Bridgewell alleges that between August 9, 2022, and October 10, 2022, Respondent's invoicing practices for demurrage and detention ("D&D") failed to comply with the requirements under OSRA 2022 and did not serve the Incentive Principle articulated at section 545.5. Amended Claim, pg. 1, at no. 7. Specifically, it alleges that COSCO unlawfully collected seventeen D&D payments from Claimant totaling \$43,780.00, "in violation of OSRA 2022 by either: (a) failing to remit to Claimant actual invoices for such charges as required by 46 U.S.C. §§ 41104(a)(15) and (d); or by remitting invoices that did not comply with the minimum information requirements at 46 U.S.C. §§ 41104(d)(2) and the FMC's regulations for billing requirements and practices for D&D at 46 C.F.R. Part 541." Amended Claim pgs. 1-2 at no. 8. However, in Bridgewell's RFI responses it clarifies that Respondent "failed to issue *any* invoices for the detention and demurrage charges that Claimant paid to CSLNA from August 9, 2022, through October 10, 2022." C. Supp. Info pgs. 1-2 at no. 5 (emphasis added).

Also, Bridgewell asserts:

Despite the clear mandate of Congress under OSRA 2022, CSLNA failed to issue invoices for the detention and demurrage charges but still demanded payment from Claimant through the PayCargo and eModal online portal systems. CSLNA's practices compelled Claimant to pay the D&D Charges without the transparency or visibility needed to evaluate the proper application of free time,

³ While CSLNA is no longer formally a respondent in this proceeding, CSLNA acted as agent for COSCO for the relevant shipments. PF 3. Actions and admissions made by CSLNA will therefore be attributed to COSCO.

charge accumulation, or the options available to dispute or mitigate fees. By failing to communicate with Claimant and not issuing invoices that provided the required data elements under OSRA 2022, CSLNA imposed an undue burden on Claimant where it could not practically manage its supply chain and costs during an already challenging period of time. Despite this, Claimant paid the charges via credit card upon receipt of notices through PayCargo and eModal to ensure the release of its containers.

C. Supp. Info pg. 2 at no. 7. Further, Claimant alleges:

Respondent's practice of failing to issue invoices for D&D charges but still demanding that Claimant make payments for uninvoiced or unsubstantiated D&D charges as a condition precedent to release Claimant's containers violates OSRA 2022 and it fails to satisfy the FMC's "Incentive Principle" under the "Interpretive Rule on Demurrage and Detention Under the Shipping Act" at 46 C.F.R. § 545.5, which requires such charges to serve "their intended primary purposes as financial incentives to promote freight fluidity."

Amended Claim pg. 2 at no. 11.

Bridgewell opines that the seventeen receipts it provided as exhibits are the only information available to it and that requiring it to produce additional information relative to the payments "requires Claimant to prove a negative despite the fact that it was CSLNA that acted unreasonably by failing to satisfy its legal obligation to issue invoices prior to demanding payment from Claimant" C. Supp. Info pgs. 2-3 at no. 7. Bridgewell contends that as a result of COSCO's failure to issue invoices for the demurrage charges in question, it is entitled to a refund of the \$43,780.00 it paid for the charges. Amended Claim, pg. 2 at no. 12.

In addition, Bridgewell alleges that Respondent "took advantage of widespread congestion issues across international and domestic supply chains during the Relevant Period of Time in connection with the D&D charges and decided to implement unreasonable and unfair practices in relation to receiving, handling, storing, or delivering property as prohibited by 46 U.S.C. §§ 41102(c) and (d)(2)." Amended Claim, pg. 2 at no. 12. When asked to elaborate on this allegation, Bridgewell responded:

During a period of widespread supply chain congestion following the response to COVID-19, CSLNA used those circumstances to implement unreasonable and unfair practices by not issuing invoices for detention and demurrage charges yet still demanding payment from Claimant in order to ensure the release of its cargo. Despite the clear mandate of Congress under OSRA 2022, CSLNA failed to issue invoices for the detention and demurrage charges but still demanded payment from Claimant through the PayCargo and eModal online portal systems. CSLNA's practices compelled Claimant to pay the D&D Charges without the transparency or visibility needed to evaluate the proper application of free time, charge accumulation, or the options available to dispute or mitigate fees. By failing to communicate with Claimant and not issuing invoices that provided the required data elements under OSRA 2022, CSLNA imposed an undue burden on

Claimant where it could not practically manage its supply chain and costs during an already challenging period of time.

C. Supp. Info pg. 2 at no. 7.

Regarding attempts it made to dispute the demurrage charges with Respondent, Claimant states:

Claimant could not dispute the charges with CSLNA in real time, as CSLNA failed to issue invoices for the charges and disputing the charges would have resulted in the further delay and release of Claimant's cargoes. Claimant attempted to explore resolution of this matter directly with CSLNA in March 2024, but CSLNA never provided the courtesy of a response to Claimant. As such, undersigned counsel attempted to resolve the detention and demurrage charges directly with CSLNA's Legal Department from June 2024 through October 2024 until CSLNA's counsel confirmed on August 30, 2024, that "We have done several searches to identify the charges/invoices that result in the 78 payments . . . However, we could only locate a couple of invoices issued by COSCO SHIPPING Lines to Bridgewell Agribusiness (total of \$3,500) for demurrage[,]" and then CSLNA's counsel refused to respond to any further attempts made by undersigned counsel. Indeed, CSLNA admittedly could not locate its own invoices and records despite that Claimant provided proof of payment to CSLNA for \$196,210.00 charges.

R. Supp. Info, pg. 3 at no. 10.

2. Respondent COSCO's Arguments

COSCO generally denies Bridgewell's allegations, "[e]xcept to admit failing to remit actual invoices for D&D charges totaling \$43,780.00." COSCO Answer pg. 2 at no. 8. COSCO asserts:

Complainant has the burden of proof to demonstrate how the charges issued violated 46 U.S.C. §§ 41104 (a) or 41102. Complaints have not provided a description or statement of how the invoices were deficient. Further Complaint has been inconsistent in describing Respondent's practices, Complainant states that Respondent failed to issue invoices and then states that Respondent issued deficient invoices.

COSCO Answer pg. 3 at no. 11. COSCO further asserts that "Complainant received invoices" and on the subject of proof contends that:

Although Claimant alleges that Respondent failed to send invoices, it inconsistently simultaneously alleges that Respondent sent deficient invoices. Claimant has not provided any deficient invoices for the Relevant Period of Time. Claimant has provided receipts issued from D&D charges paid in accordance with the notices that Claimant received through online portal systems, however

Claimant has not provided those notices to demonstrate deficient invoice practices that warrant a full refund totaling \$43,780.00

COSCO Answer pg. 3 at nos. 9 and 12.

COSCO clarifies that it imposed demurrage but not detention charges on the cargo, which were collected on COSCO's behalf by Long Beach Container Terminal ("LBCT") and remitted back to CSLNA. R. Supp. Info pgs. 1-2 at nos. 1-3. When asked to explain whose duty it was to remit the invoices and the process for remitting the invoices, COSCO responded:

LBCT would collect the demurrage charges directly from the account making payment for the demurrage. LBCT, on a monthly basis, would then send CSLNA a detailed monthly statement providing the total demurrage collected for the month. CSLNA import team would then create an invoice based on the LBCT monthly demurrage statement which would be submitted to CSLNA's accounting department for payment processing and recordkeeping. For the invoice created by CSLNA for LBCT the individual shipments are not included due to the volume of shipments.

R. Supp. Info pg. 2 at no. 4.

In addition to denying that it violated sections 41104(a) and (d), COSCO denies that it violated sections 41102(c) and (d). COSCO Answer pg. 2 at no. 7. It contends that the total claim amount should be denied, but urges: "if any invoice deemed to have been deficient is found the claim amount should be reduced to the amount actually received by Respondent." COSCO Answer pg. 3 at no. 13.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

The Parties:

1. Claimant Bridgewell is a partnership located in Clackamas, Oregon. Amended Claim pg. 1 at no. 1.
2. Bridgewell was the shipper and beneficial cargo owner of the shipments for which the demurrage payments at issue were made. Amended Claim pg. 1 at no. 6; COSCO Answer pg. 2 at no. 6.
3. COSCO Shipping Lines (North America) Inc., who operates a place of business in Secaucus, New Jersey, is the U.S. agent for COSCO SHIPPING Lines Co., Ltd. COSCO Answer pg. 1 at no. 3 ("Respondent admits that it conducts business at 100 Lightening Way, Secaucus, NJ . . . through its agent, COSCO SHIPPING Lines (North America) Inc.").
4. CSLNA acted as agent for COSCO for the relevant shipments. Claim, Ex. at pgs. 7-29.

5. COSCO SHIPPING Lines Co., Ltd. is a vessel-operating-common carrier (“VOCC”). COSCO Answer pg. 2 at no. 5; *see also* R Supp. Info, Exs. 1 & 2.
6. COSCO acted as common carrier, transporting containers for Bridgewell in 2022, including container numbers: BEAU6225110, CSNU1343560, CSNU8330251, CSNU8457610, FCIU5190259, OOLU0191326, OOLU1868746, OOLU7648409, RFCU2129522, RFCU4103229, and TLLU2636261, which containers incurred detention and demurrage charges between July and December 2022. Claim, Ex. at pgs. 7-29.
7. Bridgewell produced evidence demonstrating that it made the payments at issue via PayCargo and eModal. C. Supp. Info pg. 1 at no. 2; Claim, Ex. at pgs. 7-29.
8. PayCargo and eModal are third-party online portal systems for processing payments. C. Supp. Info., pg. 1 at no. 2, and pg. 2 at no. 7.
9. The one PayCargo receipt presented by Bridgewell does not appear to relate to demurrage charges. Claim Ex.⁴ pg. 21. However, the remainder of the payments, which concern demurrage payments, were made by Bridgewell through eModal. Claim Ex. pgs. 7-20, 22-29.
10. The payment receipts Claimant received after paying the demurrage charges through the eModal online portal systems were substantially similar to the notices for the demurrage charges Claimant received. C. Supp. Info, pg. 1 at no. 2.
11. COSCO produced Invoice Nos. 2085582798 and 2085585860 showing demurrage charges CSLNA invoiced directly to Bridgewell, totaling \$3,630. A review of those invoices show that they contain the minimum required language for demurrage invoices under sections 41104(a)(15) and 41104(d)(2). However, both invoices list only a single container – Container # CCLU4628194 – which is not among the containers for which Claimant seeks reparations. R Supp. Info pg. 1 at nos. 1-2; R. Supp. Info, Exs. 1 & 2, Claim, Ex. at pgs. 5-6.

Demurrage Paid to Long Beach Container Terminal

12. The payments for which Bridgewell seeks reparations were made directly to LBCT, via an online portal. C. Supp. Info pg. 1 at no. 3; R. Supp. Info pg. 2 at no. 4.
13. A portion of the payments for demurrage charges collected from Bridgewell by LBCT were collected on behalf of COSCO, and were remitted to COSCO by LBCT. R. Supp. Info pgs. 1-2 at no. 3.
14. In its claim, Bridgewell asserts that it made seventeen demurrage payments totaling \$43,780, for which it seeks reparations; however, a chart submitted by Bridgewell as

⁴ Citations to Claim exhibits reference pages 5 through 29 of the exhibits which Claimant submitted with its original claim but failed to reattach to its amended claim.

proof of the payments contains only sixteen payments. Amended Claim, pg. 1 at no. 8; Claim, Ex. at pgs. 5-6.

15. The sixteen demurrage payments specified by Bridgewell, which sum to \$39,875 and for which it seeks reparations, include the following:

<i>Paymt #</i>	<i>Pay Date</i>	<i>Container #</i>	<i>Ref # (COSU Line)</i>	<i>Charge Paid</i>
1	8/9/2022	BEAU6225110	6336422890	\$825
2	8/9/2022	CSNU8330251	6336422960	\$825
3	8/9/2022	CSNU8457610	6336422770	\$825
4	8/9/2022	FFAU2359116	6336422660	\$825
5	8/18/2022	FCIU5190259	6338142060	\$1,485
6	8/18/2022	OOLU1868746	6338144890	\$660
7	8/22/2022	FCIU5190259	6338142060	\$495
8	8/23/2022	RFCU2129522	6336752590	\$2,255
9	8/23/2022	RFCU2129522	6336752590	\$275
10	8/29/2022	CSNU1343560	6336751840	\$3,080
11	9/12/2022	Not listed	6337543580	\$3,355
12	9/13/2022	TLLU2636261	6338144060	\$3,080
13	9/13/2022	OOLU0191326	6336753830	\$7,205
14	9/20/2022	RFCU4103229	6339836530	\$330
15	10/6/2022	OOLU7648409	6337543400	\$13,255
16	10/10/2022	OOLU7648409	6337543400	\$1,100

Claim, Ex. at pgs. 5-6; *see also* Claim, Ex. at pgs. 7-29.

16. Claimant did not provide any evidence supporting the alleged demurrage payment for \$825 listed at #4, concerning container # FFAU2359116. Claim, Ex. at pgs. 7-29. Neither Bridgewell nor COSCO have pointed to other evidence in the record supporting the alleged payment #4.

17. Similarly, Claimant did not provide any evidence supporting the allegation that the payment in the amount of \$3,355 listed at #11 was for a demurrage charge. The PayCargo receipt shows a total payment by Bridgewellab Agribusiness LLC to COSCO SHIPPING Lines (North America) Inc. of \$3,487.95, on September 12, 2022, which breaks down as an “Amount” of \$3,355.00, in addition to a “Shipper Fee” of \$15,00, and a “Processing Fee” of \$117.95. Further, the receipt contains a notation: “Has Arrived – No” and the notation “Status – Cleared.” Claim, pg. 5; and Claim Ex. pg. 21.
18. The fourteen remaining payments, for which support has been provided – Payments #1-3, 5-10, and 12-16 (“14 D&D Payments”) – were all demurrage payments for COSCO shipments, which payments were made by Bridgewell to LBCT via eModal, between August 9, 2022, and October 10, 2022. C. Supp. Info pg. 1 at no. 2; Claim, Ex. pgs. 5-20, 22-29; R. Supp. Info, Exs. 5-7. These fourteen D&D Payments sum to \$35,695, which charges are documented on eleven distinct payment statements. *Id.*
19. Organized by container number, the fourteen D&D Payments result in demurrage payments made for 11 unique container numbers, broken down as follows:

<i>Container #</i>	<i>Total \$ Demurrage Paid by Bridgewell</i>	<i>Payment #s</i>	<i>Cite(s)</i>
BEAU6225110	\$825	1	Claim, Ex. at pgs. 22-23
CSNU1343560	\$3,080	10	Claim, Ex. at pgs. 11-12
CSNU8330251	\$825	2	Claim, Ex. at pgs. 22-23
CSNU8457610	\$825	3	Claim, Ex. at pgs. 22-23
FCIU5190259	\$1,980	5 & 7	Claim, Ex. at pgs. 13-16
OOLU0191326	\$7,205	13	Claim, Ex. at pgs. 24-25
OOLU1868746	\$660	6	Claim, Ex. at pgs. 13-14
OOLU7648409	\$14,355	15 & 16	Claim, Ex. at pgs. 17-18, 26-27

RFCU2129522	\$2530	8 & 9	Claim, Ex. at pgs. 9-10, 28- 29
RFCU4103229	\$330	14	Claim, Ex. at pgs. 19-20
TLLU2636261	\$3,080	12	Claim, Ex. at pgs. 7-8
Total	\$35,695	1-3, 5-10, 12-16	

20. LBCT collected a portion of each of the fourteen D&D Payments on behalf of COSCO. Information provided by COSCO specifies, for each container, the total collected from Bridgewell, and the total that was remitted from LBCT to COSCO. R. Supp. Info pg. 2 at no. 3 (citing to Attachments 5, 6, and 7 for the breakout of demurrage collected by LBCT and remitted back to COSCO, referred to herein as “R. Supp. Info, Exs. 5-7”).
21. Respondent’s spreadsheets show the total collected by LBCT per each specified container, and the total remitted to COSCO for the same container, which ranges from 61% to 79%. R. Supp. Info, Exs. 5-7. Respondent does not break this disbursement down payment by payment and does not explain how the amount due to COSCO was calculated. R Supp., Exs. 5-7. However, the total paid by Bridgewell for each specified container (as shown through its payment receipts) matches the total received by LBCT for each specified container (as shown in Respondent’s spreadsheets). Claim, Ex. pgs. 7-12, 15-20, 24-29; R. Supp. Info, Exs. 5-7.
22. Specifically, for the following eleven containers (encompassing payments # 1-3, 5-10, and 12-16), of the \$35,695 in demurrage fees paid by Bridgewell, LBCT remitted \$24,847.20 in demurrage fees back to COSCO, broken down as follows:

Container #	Total \$ in Demurrage Paid by Bridgewell (see PF 17)	Total \$ Received by LBCT via eModal	Total \$ Remitted to COSCO	Cite re \$ to LBCT and COSCO
BEAU6225110	\$825	\$825	\$544.50	R. Supp., Ex. 5
CSNU1343560	\$3,080	\$3,080	\$2,353.50	R. Supp., Ex. 5
CSNU8330251	\$825	\$825	\$544.50	R. Supp., Ex. 5
CSNU8457610	\$825	\$825	\$544.50	R. Supp., Ex. 5

FCIU5190259	\$1,980	\$1,980	\$1,507.50	R. Supp., Ex. 5
OOLU0191326	\$7,205	\$7,205	\$5,526.00	R. Supp., Ex. 6
OOLU1868746	\$660	\$660	\$518.40	R. Supp., Ex. 5
OOLU7648409	\$14,355	\$14,355	\$8,806.50	R. Supp., Ex. 7
RFCU2129522	\$2,530	\$2,530	\$1,930.50	R. Supp., Ex. 5
RFCU4103229	\$330	\$330	\$217.80	R. Supp., Ex. 6
TLLU2636261	\$3,080	\$3,080	\$2,353.50	R. Supp., Ex. 6
Total	\$35,695.00	\$35,695.00	\$24,847.20	

23. Thus, for the fourteen D&D Payments, Bridgewell paid \$35,695.00 in demurrage fees, \$24,847.20 of which was remitted to COSCO, for the following eleven containers: BEAU6225110, CSNU1343560, CSNU8330251, CSNU8457610, FCIU5190259, OOLU0191326, OOLU1868746, OOLU7648409, RFCU2129522, RFCU4103229, and TLLU2636261 (“11 Containers”). *See* PF 19.

Relevant Demurrage Invoices Provided to Bridgewell

24. Bridgewell became aware of the demurrage charges at issue by receiving notices through the eModal online payment portal system.” C. Supp. Info pg. 1 at no. 2; Claim, Ex. pgs. 5-20, 22-29.
25. Bridgewell then paid the charges, via eModal, “to ensure the release of its containers.” C. Supp. Info pg. 2 at no. 7.
26. “LBCT would collect the demurrage charges directly from the account making payment for the demurrage. LBCT, on a monthly basis, *would then* send CSLNA a detailed monthly statement providing the total demurrage collected for the month. CSLNA import team *would then* create an invoice based on the LBCT monthly demurrage statement which would be submitted to CSLNA’s accounting department for payment processing and recordkeeping.” R. Supp. Info pg. 2 at no. 4 (emphases added).

Information Included on D&D Statements

27. Pursuant to 46 U.S.C § 41104(d)(2), an invoice for demurrage must include the following minimum information:
- (A) Date that the container is made available.
 - (B) The port of discharge.
 - (C) The container number or numbers.

- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

Payment Receipt #s 1-3 for Containers BEAU6225110, CSNU8330251, and CSNU8457610

28. A single payment receipt was issued for Containers BEAU6225110, CSNU8330251, and CSNU8457610 (Payment #s 1-3), showing payments by Bridgewell for demurrage through 2022-08-09 totaling \$825.00 for container BEAU6225110; demurrage through 2022-08-09 totaling \$825.00 for container CSNU8330251; and demurrage through 2022-08-09 totaling \$825.00 for container CSNU8457610.

A second section on the same document lists for Containers BEAU6225110, CSNU8330251, and CSNU8457610: Category – IMPORT, Port of Discharge – USLGB, Carrier – COSCO Shipping Lines (North America) Inc. (COSU), Facility – Long Beach Container Terminal – Pier E, First Available Date – 2022-07-31, Allowed Free Days – 4, Free time state date – 2022-08-01, Free Time End Date – 2022.08-04, Applied demurrage or detention rule – Import Dry 40 Storage, Description – Storage charges day 1 through 5, for 5 applicable days, at a daily rate of \$165.00, for a total of \$825.00 for each container, followed by the following notice: “The appropriate contact information for questions or requests for mitigation of fees can be found at lbct.com. The invoice and fees presented may only reflect a portion of total fees incurred, due and payable at any period in time. For questions, concerns or clarification on fees, please contact the common carrier for tariff rules, rates and application therefore.” Claim, Ex. pgs. 23-24.

29. Compared against the minimum information required under section 41104(d), the receipt for payments #1-3 is missing: (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage and (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges. Claim, Ex. at pgs. 5-6, 22-23; PFs 27-28.

Payment Receipt #s 5-6 for Containers FCIU5190259 and OOLU1868746

30. A single payment receipt was issued for Containers FCIU5190259 and OOLU1868746 (Payment #s 5-6) showing payments by Bridgewell for demurrage through 2022-08-20

totaling \$1,485.00 for Container FCIU5190259; and demurrage through 2022-08-19 totaling \$660.00 for Container OOLU1868746 .

A second section on the same document, **lists for Container number OOLU1868746 only**: Category – IMPORT, Port of Discharge – USLGB, Carrier – COSCO Shipping Lines (North America) Inc. (COSU), Facility – Long Beach Container Terminal – Pier E, First Available Date – 2022-08-09, Allowed Free Days – 4, Free time state date – 2022-08-10, Free Time End Date – 2022.08-15, Applied demurrage or detention rule – Import Dry 20 Storage, Description – Storage charges day 1 through 5, for 4 applicable days, at a daily rate of \$165.00, for a total of \$660.00, followed by the following notice:

The appropriate contact information for questions or requests for mitigation of fees can be found at lbct.com. The invoice and fees presented may only reflect a portion of total fees incurred, due and payable at any period in time. For questions, concerns or clarification on fees, please contact the common carrier for tariff rules, rates and application therefore.

Based upon the representations of the Carrier to the Terminal, the Carrier states that Carrier demurrage and/or detention charges are consistent with the regulations of the Federal maritime Commission with respect to demurrage and detention.

Based upon the representations of the Carrier to the Terminal, the Carrier represents that the performance of the carrier did not cause or contribute to the underlying invoiced charges for demurrage and/or detention.

Claim, Ex. pgs. 13-14 (capitalization as in original, bold added).

31. Compared against the minimum information required under section 41104(d)(2), the demurrage documentation for Payment #5 (Container # FCIU5190259), is missing the following information: (A) Date that the container is made available, (B) The port of discharge, (D) Indication that this container is an import, or the earliest return date in the case of an exported shipment, (E) The allowed free time in days, (F) the start date of free time, (G) The end date of free time, (H) The applicable detention or demurrage rule on which the daily rate is based, and (I) The applicable rate per the applicable rule. Claim, Ex. pgs. 5-6, 13-14; PFs 27, 30.
32. However, the receipt for Payment #6 (Container # OOLU1868746), contains all required information under section 41104(d)(2). Claim, Ex. pgs. 13-14; PFs 27, 30.

Payment Receipt #s 7-10 and 12-16 for Containers #s FCIU5190259, RFCU2129522, CSNU1343560, TLLU2636261, OOLU0191326, RFCU4103229, and OOLU7648409

33. The payment receipts for Payment #s 7-10 and 12-16 show demurrage payments by Bridgewell for Container # FCIU5190259 (Payment # 7 (the second payment for demurrage on the container), for demurrage through 2022-08-22, totaling \$495.00; Container # RFCU2129522 (two demurrage payments), for demurrage through 2022-08-

23, totaling \$2,255.00 (Payment # 8) and for demurrage through 2022-08-24, totaling \$275.00 (Payment # 9); Container # CSNU1343560, for demurrage through 2022-08-29, totaling \$3,080.00 (Payment # 10); Container # TLLU2636261, for demurrage through 2022-09-13, totaling \$3,080.00 (Payment # 12); Container # OOLU0191326, for demurrage through 2022-09-13, totaling \$7,205.00 (Payment # 13); RFCU4103229, for demurrage through 2022-09-21, totaling \$330.00 (Payment # 14); and Container # OOLU7648409 (two demurrage payments) for demurrage through 2022-10-06 totaling \$13,255.00 (Payment # 15) and for demurrage through 2022-10-10 totaling \$1,100.00 (Payment # 16). No further relevant information is included on these payment receipts. Claim, Ex. at pgs. 15-16; 28-29; 9-10; 11-12; 7-8; 24-25; and 26-27.

34. Compared against the D&D information required by section 41104(d), the demurrage documentation for payment #s 7, 8, 9, 10, 12, 13, 14, 15, and 16 are all missing: (A) Date that the container is made available, (B) The port of discharge, (D) Indication that this container is an import, or the earliest return date in the case of an exported shipment, (E) The allowed free time in days, (F) the start date of free time, (G) The end date of free time, (H) The applicable detention or demurrage rule on which the daily rate is based, and (I) The applicable rate per the applicable rule, (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees, (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage, and (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges. PFs 27, 33; *see also* Claim, Ex. pgs. 5-12, 15-20, 24-29.
35. Thus, across the demurrage documentation for Payment #s 1, 2, 3, 5, 7, 8, 9, 10, 12, 13, 14, 15, and 16, each is missing at least one element required by section 41104(d). PFs 27-34; *see also* Claim, Ex. pgs. 5-20, 22-29.

Communications Between the Parties

36. On March 5, 2024, Bridgewell sent a letter to Respondent expressing concerns about various D&D charges. C. Supp. Info, Ex. Ex. A at pg. 1.
37. On June 10, 2024, Respondent emailed Bridgewell, acknowledging the letter "related to several detention and demurrage disputes" and stating "I am looking into the matter with our local office and will have an update for you on these disputes shortly." C. Supp. Info, Ex. B at pg. 4.
38. On July 19, 2024, Bridgewell followed up with Respondent by email, writing: "It has been several weeks now since you acknowledged receipt of the letter we sent on behalf of our client Bridgewell to address concerns it has about certain D&D charges that it paid to COSCO." Bridgewell then asked for a status update and suggested a call to chart a path forward. C. Supp. Info, Ex. Ex. B at pg. 4.
39. On August 23, 2024, Bridgewell again emailed Respondent, writing in relevant part:

We exchanged correspondence more than two months ago confirming your receipt and investigation of Bridgewell's demurrage and detention

charges dispute with COSCO. Since then, you have been unresponsive and no meaningful progress has been made toward a resolution of this matter.

This silence coupled with the apparent absence of available information and data for COSCO to meaningfully investigate this matter only supports Bridgewell's claims, and it demonstrates that COSCO did not issue any invoices or issued materially non-compliant invoices.

C. Supp. Info, Ex. B at pg. 3. Bridgewell then requested that COSCO issue a refund of \$203,650 pertaining to 78 D&D demurrage payments that Bridgewell claimed it had made to COSCO. *Id.*

40. Respondent replied on August 30, 2024, writing:

I apologize for the delay in responding. We have done several searches to identify the charges/invoices that result in the 78 payments (\$203,650). However, we could only locate a couple of invoices issued by COSCO SHIPPING Lines to Bridgewell Agribusiness (total of \$3,500) for demurrage – we could not locate any detention invoices.

Can you provide the bill of lading number or invoice number identified for these D&D charges. This will allow us to review the bookings – as some of these charges may have been invoiced by other parties.

C. Supp. Info, Ex. B at pgs. 2-3.

41. Bridgewell then followed up with Respondent by email on September 23, 2024, writing:

A supplement to those materials Bridgewell previously provided to COSCO in connection with its D&D Charges dispute is attached.

Without receiving invoices from COSCO for the D&D Charges, Bridgewell does not have any data or information available to it beyond this supplement. The additional information provided herein is limited to the information generated through the online portal systems where Bridgewell made the payments.

C. Supp. Info, Ex. B at pgs. 1-2.

42. In addition, Bridgewell sent a letter to Respondent, also on September 23, 2024, writing in relevant part:

We are writing in response to your email dated August 30, 2024 . . . where you said COSCO is unable to find the information it needs to further investigate Bridgewell's claims. . . .

The absence of such information and data supports Bridgewell's claims that COSCO did not issue any invoices or issued materially non-compliant

invoices such that COSCO now cannot locate the necessary information to meaningfully investigate this matter. It is COSCO's obligation to generate, produce, and retain the very information you are now requesting of Bridgewell. Although COSCO is in the best position to have and locate this information, the attached Claims Summary and Schedule of D&D Charges and Payments supplements what we previously provided to COSCO in support of Bridgewell's claims.

C. Supp. Info, Ex. C at pg. 1.

43. On October 15, 2024, Bridgewell again emailed Respondent, writing:

I am following up on my September 23rd email where I provided you with the attached supplement in support of Bridgewell's D&D Charges dispute.

Your silence signals there is an absence of available information and data to COSCO, which forms the basis of Bridgewell's claims and demonstrates that COSCO did not issue any invoices or issued materially non-compliant invoices.

COSCO has thus far failed to prove it actually issued invoices within the FMC's required timeframe, and as you know, it is COSCO's obligation to generate, produce, and retain the very information that COSCO is now unable to locate. The invoicing requirements under OSRA 2022 and the FMC's regulations are the compliance obligations of carriers such as COSCO – not Bridgewell and not third-party vendors and payment platforms.

C. Supp. Info, Ex. B at pg. 1. Bridgewell also again invited COSCO to explore a resolution concerning the D&D charges. *Id.*

44. Bridgewell submitted its small claims complaint on December 19, 2024. Claim pg. 1.

III. DISCUSSION

A. Controlling Authority

COSCO acted as an ocean common carrier for the relevant shipments, and CSLNA acted as agent for COSCO for the shipments. PFs 3-6. "The term 'ocean common carrier' means a vessel-operating-common carrier." 46 U.S.C. § 40102(18).

A "common carrier" is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
-

46 U.S.C. § 40102(7). Bridgewell was the shipper for the relevant shipments. PF 2.

The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Bridgewell alleges that COSCO violated section 41104(a)(15) and (d). Section 41104(a)(15) states:

- (a) IN GENERAL – A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not

* * *

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with-

- (A) all provisions of part 545 of title 46, Code of Federal Regulation (or successor regulations); and
- (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule on Demurrage and Detention under the Shipping Act” (or successor rule).

Section 41104(d) provides:

(d) DETENTION AND DEMMURAGE INVOICE INFORMATION . -

(1) INACCURATE INVOICE. -If the Commission determines, after an investigation in response to a submission under section 41301, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) CONTENTS OF INVOICE.-An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall

include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that the container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

46 U.S.C. § 41104(d)(2). Pursuant to section 41104(f), “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” 46 U.S.C. § 41104(a)(15), (d), and (f). These requirements became operative as of the effective date of OSRA 2022 and thus apply to the demurrage payments at issue here.

Bridgewell also alleges that COSCO's invoices did not comply with the FMC's regulations at 46 C.F.R. § 541. The regulations at Part 541 were updated pursuant to the FMC's Final Rule on demurrage and detention billing requirements (“D&D Billing Final Rule”). D&D Billing Final Rule, 2024 WL 756583, 89 FR 14330-01 (FMC Feb. 26, 2024). The D&D Billing Final Rule added to the section 41104(d)(2) required information, for example, also requiring that the bill of lading be included on D&D invoices. D&D Billing Final Rule, 2024 WL 756583, at *14363; *see also* 46 C.F.R. § 541.6. The addition of further D&D invoice requirements, on top of those established by section 41104(d)(2), was not made effective until May 28, 2024, however, after the date of the relevant demurrage payments here. D&D Billing Final Rule – Announcement of Effective Date, 2024 WL 2132997, at *41895 (noting that the “amendments adding 46 CFR 541.6 . . . published on February 26, 2024 . . . are effective on May 28, 2024.”). Such extra content requirements are thus not applicable to Bridgewell's claims. However, to the extent that the Commission's commentary in the D&D Billing Final Rule illuminates the intended implementation of sections 41104(a)(15) and (d) generally, such statements may be relevant and are discussed. *See, e.g., Bakerly, LLC v. Seafrigo USA, Inc.*, 2024 WL 95381, at *37 (ALJ Jan. 3, 2024) (noting that although OSRA 2022 was not controlling during that case's relevant actions, “to the extent that OSRA 2022 codified preexisting requirements, including from the demurrage and detention rule, they may be relevant to the other claims and are discussed.”).

In addition, Bridgewell alleges that COSCO violated section 41102(c), which provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Pursuant to section 545.4 of the Commission’s Regulations, in order to establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Bridgewell also alleges that COSCO’s invoicing practices in connection with the disputed invoices “did not serve the FMC’s ‘Incentive Principle’ under the ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act’ at 46 C.F.R. § 545.5.” Amended Claim pg. 1 at no. 7. Section 545.5 provides:

- (a) *Purpose.* The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.
- (b) *Applicability and scope.* This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (*e.g.*, land) or shipping containers, not including freight charges.
- (c) *Incentive principle*—(1) *General.* In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.
 - (2) *Particular applications of incentive principle*—(i) *Cargo availability.* The Commission may consider in the reasonableness analysis the extent to

which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(ii) *Empty container return*. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable. . . .

46 C.F.R. § 545.5. Further, Bridgewell alleges that COSCO violated section 41102(d)(2), which provides:

Retaliation and Other Discriminatory Actions.-A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not:

*

*

*

(2) resort to any other unfair or unjustly discriminatory action for-

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has-(i) patronized another carrier; or (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d)(2) (2022).

B. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

Bridgewell's primary allegation is that COSCO failed to issue any invoices for the demurrage charge payments at issue. Bridgewell further alleges that the failure to remit the invoices constitutes a violation of OSRA 2022 provisions, specifically, the provisions under sections 41104(a)(15) and 41104(d)(2). In addition, Bridgewell alleges violations of sections 41102(c) and (d) of the Shipping Act and the Commission's Regulation at 46 C.F.R. § 545.5. COSCO denies these allegations. This decision finds that COSCO did not provide Bridgewell with compliant invoices, violating sections 41104(a)(15) and (d), and assesses the amount owed to Claimant for the violations.

C. Analysis

1. Claimant Demonstrates that a Violation of Section 41104(a)(15) and 41104(d) Occurred

Bridgewell alleges that COSCO violated sections 41104(a)(15) and 41104(d) by unlawfully collecting demurrage and detention payments from Claimant without remitting actual invoices for the charges as required under section 41104(a)(15), or in the alternative, by remitting invoices that did not comply with the minimum information requirements under section 41104(d)(2). Amended Claim pgs. 1-2, at no. 8. However, in Bridgewell's responses to the RFI it clarifies that Respondent "failed to issue *any* invoices for the detention and demurrage charges that Claimant paid to CSLNA from August 9, 2022, through October 10, 2022. C. Supp. Info pgs. 1-2 at no. 5 (emphasis added).

Section 41104(a)(15) forbids any party to fail to include in their invoice for demurrage or detention charges the information described in subsection (d) showing that such charges comply with-(A) all provisions of part 545 of title 46, Code of Federal Regulation; and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled "Interpretive Rule on Demurrage and Detention under the Shipping Act." 46 U.S.C. § 41104(a)(15).

COSCO admits that it imposed the alleged demurrage charges via LBCT, and that it "fail[ed] to remit actual invoices for D&D charges totaling \$43,780.00." COSCO Answer pg. 2 at no. 8; R. Supp. Info, pg. 1 at no. 1; pgs. 1-2 at nos. 3-4. While it provided two invoices it remitted to Claimant for demurrage charges at a certain period – Invoices 20855827798 and 2085585860 – those invoices reflect charges for a container that is not among the containers for whose demurrage payments Claimant seeks reparations. *See* PF 11.

Moreover, the record does not contain any evidence of invoices issued by COSCO for the demurrage payments at issue. Respondent has offered no proof showing that it provided COSCO-created invoices – or any other form of demurrage invoices – to Bridgewell relevant to the fourteen D&D Payments (for the eleven containers - Container #s: BEAU6225110, CSNU1343560, CSNU8330251, CSNU8457610, FCIU5190259, OOLU0191326, OOLU1868746, OOLU7648409, RFCU2129522, RFCU4103229, TLLU2636261). Indeed, Respondent explains that "LBCT would collect the demurrage charges directly from the account making payment for the demurrage. LBCT, on a monthly basis, *would then* send CSLNA a detailed monthly statement providing the total demurrage collected for the month. CSLNA import team *would then* create an invoice based on the LBCT monthly demurrage statement

which would be submitted to CSLNA's accounting department for payment processing and recordkeeping." R. Supp. Info pg. 2 at no. 4 (emphases added); PF 26. Thus, Respondent acknowledges that any invoice it may have created was created after payment of the demurrage charges by Bridgewell had already occurred and that its procedures did not include the remittance of an invoice to the account making the payment, in this case, Bridgewell. *Id.*

Emails between the parties similarly reflect Respondent's conclusion that it did not itself send demurrage invoices to Bridgewell for the 11 Containers. For example, in an August 30, 2024, email from Respondent to Bridgewell – at which point a larger number of payments were still at issue versus the payments still at issue in the present proceeding – Respondent wrote:

We have done several searches to identify the charges/invoices that result in the 78 payments (\$203,650). However, we could only locate a couple of invoices issued by COSCO SHIPPING Lines to Bridgewell Agribusiness (total of \$3,500) for demurrage – we could not locate any detention invoices.

Can you provide the bill of lading or invoice number identified for these D&D charges. This will allow us to review the bookings – as some of these charges may have been invoiced by other parties.

C. Supp. Info, Ex. B at pgs. 2-3; PF 40. On September 23, 2024, Claimant replied, providing a "supplement to those materials Bridgewell previously provided to COSCO in connection with the D&D Charges" and stating: "Without receiving invoices from COSCO for the D&D Charges, Bridgewell does not have any data or information available to it beyond this supplement. The additional information provided herein is limited to the information generated through the online portal systems where Bridgewell made the payments." C. Supp. Info Ex. B at pg. 2; PF 41.

Therefore, by imposing charges without remitting invoices containing the required information under section 41104(a)(15), COSCO violated section 41104(a)(15).

Section 41104(d)(2) provides that an invoice under section 41104(a)(15) must contain the following minimum information: (A) Date that the container is made available; (B) The port of discharge; (C) The container number or numbers; (D) For exported shipments, the earliest return date; (E) The allowed free time in days; (F) The start date of free time; (G) The end date of free time; (H) The applicable detention or demurrage rule on which the daily rate is based; (I) The applicable rate or rates per the applicable rule; (J) The total amount due; (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees; (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage; and (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

COSCO argues that "Claimant has not provided any deficient invoices for the Relevant Period of Time" and that while "Claimant has provided receipts issued from D&D charges paid in accordance with the notices that Claimant received through online portal systems, however Claimant has not provided those notices to demonstrate deficient invoice practices that warrant a full refund totaling \$43,780.00." COSCO Answer, pg. 3 at no. 4. To the extent that COSCO

contends that the notices received by Claimant constitute invoices,⁵ the record shows that the receipts that Claimant produced as proof of its payments for the D&D charges are substantially similar to the notices that Bridgewell received from LBCT via the eModal online portal system (PF 10; C. Supp. Info pg. 1 at no. 2; Claim, Ex. pgs. 7-29), and that across the demurrage documentation for Payment #s 1, 2, 3, 5, 7, 8, 9, 10, 12, 13, 14, 15, and 16, each is missing at least one element required by section 41104(d). PFs 28-35; *see also* Claim, Ex. pgs. 5-20, 22-29. Therefore, COSCO has failed to comply with Section 41104(d)(2) for these demurrage charges.

That the burden would fall on COSCO – not Bridgewell – to produce evidence of invoices compliant with section 41104(d) under these circumstances, is also consistent with the “need to ensure that it is clear to shippers ‘what is being billed by whom’ so that they can understand the charges.” D&D Billing Final Rule, 2024 WL 756583, at *14330, *14333 (also noting that “the plain language of the statute shows an intent by Congress to address in a targeted manner the failures of the current invoicing process.”).⁶ As the D.C. Circuit recently summarized, the “Federal Maritime Commission, with support from Congress, has sought to address the significant and growing concerns with demurrage and detention charges and practices,” noting, for example, concerns about inconsistent terminology, and that the “entities against whom charges are assessed—such as shippers—are unclear about ‘what is being billed by whom.’” *World Shipping Council v. FMC*, 2025 WL 2698837, at *2 (D.C. Cir. 2025) (internal citations omitted) (severing 46 C.F.R. § 541.4 from the D&D Billing Final Rule, but leaving the rest of the rule intact).

I find that the evidence supports Bridgewell’s allegations for Payment #s 1-3, 5, 7-10, and 12-16, but not for Payment #s 4, 6, 11, and 17 and reach the following conclusions:

i. Bridgewell Fails to Demonstrate that it Made the Alleged Demurrage Payment #s 4, 11, and 17

There is no support in the record, including the exhibits provided by Claimant, for the fourth payment in the amount of \$825 it alleges it made for demurrage charges related to Container number FFAU2359116. PF 16; *see also* Claim, Ex. pgs. 5-29. As for the eleventh payment in the amount of \$3,487.95 that Bridgewell alleges it paid via Paycargo to CSLNA on September 12, 2022, for demurrage, while the evidence shows that Bridgewell made such a payment nothing in the record indicates that the payment was for demurrage charges. PF 15. Further, the notation on the receipt: “Has Arrived – No” and the notation: “Status – Cleared” makes it unclear as to whether the charge was for freight or other fees. PF 17. In any event, Claimant showed no connection to demurrage charges for this payment. Finally, while Claimant described “seventeen payments” in its claim, only sixteen payments appear on the chart it

⁵ *See, e.g.*, COSCO Answer pgs. 2-3 at no. 9 (asserting that “Complainant received invoices.”).

⁶ *See also* D&D Billing Final Rule, 2024 WL 756583, *14334 (stating: allowing an entity “to escape the basic requirements of this rule by artfully styling their demurrage and detention invoices as ‘receipts’ or ‘disclosures’ would undermine the statute, frustrate the Commission’s expressed intention to simplify and clarify demurrage and detention invoicing for billed parties, and leave in place the confusing status quo that spurred Congress to pass OSRA 2022.”).

provided. PFs 14-15. Thus, the evidence similarly does not demonstrate that a seventeenth demurrage payment was made by Bridgewell. *Id.*

Accordingly, Bridgewell has not carried its burden to demonstrate that reparations are owed to it for the alleged fourth, eleventh, and seventeenth D&D payments.

ii. Payment Receipt # 6 Contains All Required Information Under Section 41104(d)(2)

A review of the receipt for Payment # 6, for Container number OOLU1868746, shows that all section 41104(d)(2) required information was reflected on the receipt, suggesting that the notice for payment Claimant received was adequate and no refund is warranted for the demurrage payment. *See* PF 32; Claim, Ex. pgs. 13-14.

iii. The Payment Receipts for the Remaining Payments Do Not Contain the Required Information Under Section 41104(d)(2)

Compared against the D&D information required by section 41104(d), the demurrage documentation for Payment #s 7, 8, 9, 10, 12, 13, 14, 15, and 16 are all missing: (A) Date that the container is made available, (B) The port of discharge, (D) Indication that this container is an import, or the earliest return date in the case of an exported shipment, (E) The allowed free time in days, (F) the start date of free time, (G) The end date of free time, (H) The applicable detention or demurrage rule on which the daily rate is based, and (I) The applicable rate per the applicable rule, (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees, (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage, and (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges. PF 34; *see also* Claim, Ex. pgs. 5-12, 15-20, 24-29. Thus, across the demurrage documentation for Payment #s 1, 2, 3, 5, 7, 8, 9, 10, 12, 13, 14, 15, and 16, each is missing at least one element required by section 41104(d). PFs 28-35; *see also* Claim, Ex. pgs. 5-20, 22-29.

Pursuant to section 41104(f), “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” 46 U.S.C. § 41104(f). Further, the Commission has emphasized that 46 U.S.C. 41104(f) “functions to void an invoice if a *single* required element is not included[.]” D&D Final Billing Rule, 2024 WL 756583, at *14335. Here, multiple elements are missing, resulting in the elimination of Bridgewell’s obligation to pay the applicable charges.

In another recent case, the Administrative Law Judge similarly found that by seeking to invoice and charge complainant for demurrage and detention charges, without including the information on the invoices required by 46 U.S.C. § 41104(d)(2), the respondent violated 46 U.S.C. § 41104(a)(15). *Samsung Electronics America, Inc. v. SM Line Corp.*, Docket No. 23-01, 2025 WL 2231637, at *46 (ALJ May 28, 2025). No reparations were ordered for the section 41104(a)(15) violation, however, because payments had not yet been made by the shipper. *Id.* at *1, *50 (explaining that as the “expert report shows that none of these invoices were paid, there

is no basis to award a refund under 46 U.S.C. § 41310(c)"). By contrast, in the instant case, Bridgewell made payments to secure the release of its cargo - specifically Payments #1-3, 5, 7-10, and 12-16. PFs 28, 30, 33. Accordingly, Bridgewell is entitled to a refund for those payments.

2. Claimant Fails to Demonstrate a Section 41102(c) Violation

Bridgewell also alleges that COSCO violated section 41102(c), which forbids a common carrier, marine terminal operator, or ocean transportation intermediary to fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. 46 U.S.C § 41102(c). To succeed in a claim for reparations under section 41102(c), the claimant must demonstrate that the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; the alleged illegal conduct is "occurring on a normal, customary, and continuous basis; the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; the alleged practice or regulation is unjust or unreasonable; and, the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered. 46 C.F.R. § 545.4. Failure to demonstrate any of these five elements precludes the finding of a section 41102(c) violation and award of reparations to the claimant.

Bridgewell contends that COSCO violated section 41102(c) because COSCO failed to provide OSRA-2022 compliant invoices for the demurrage payments at issue. Bridgewell alleges that COSCO "took advantage of widespread congestion issues across international and domestic supply chains during the Relevant Period of Time in connection with the D&D charges and decided to implement unreasonable and unfair practices in relation to receiving, handling, storing, or delivering property as prohibited by 46 U.S.C. §§ 41102(c)" Amended Claim pg. 2 at no. 10. When asked to elaborate, Bridgewell asserted:

During a period of widespread supply chain congestion following the response to COVID-19, CSLNA used those circumstances to implement unreasonable and unfair practices by not issuing invoices for detention and demurrage charges yet still demanding payment from Claimant in order to ensure the release of its cargo. Despite the clear mandate of Congress under OSRA 2022, CSLNA failed to issue invoices for the detention and demurrage charges but still demanded payment from Claimant through the PayCargo and eModal online portal systems. CSLNA's practices compelled Claimant to pay the D&D Charges without the transparency or visibility needed to evaluate the proper application of free time, charge accumulation, or the options available to dispute or mitigate fees. By failing to communicate with Claimant and not issuing invoices that provided the required data elements under OSRA 2022, CSLNA imposed an undue burden on Claimant where it could not practically manage its supply chain and costs during an already challenging period of time. Despite this, Claimant paid the charges via credit card upon receipt of notices through PayCargo and eModal to ensure the release of its containers.

C. Supp. Info., pg. 2 at no. 7.

Thus, Bridgewell does not allege that the D&D charges are, themselves, unreasonable. Rather, Bridgewell alleges that COSCO's unreasonable behavior consisted of failing to issue invoices providing all required data elements. C. Supp. Info., pg. 2 at no. 7. Even if COSCO's failure to remit sections 41104(a)(15) and 41104(d)(2) compliant invoices to Claimant were found to be unjust and unreasonable conduct, Bridgewell failed to show that the conduct is "occurring on a normal, customary, and continuous basis." Indeed, COSCO produced two invoices it issued to Claimant in the past, which contain the required information, and one of the payment receipts Claimant produced also contains the required language. PFs 11, 30, 32. Therefore, there is not sufficient factual development to show a consistent pattern or practice of illegal behavior.

Section 41102(c) is not intended to cover "an isolated error," but rather a "pattern of behavior." *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739, at *2 n.8 (SO July 26, 2001), admin. final Sep. 4, 2001. As also discussed in a recent case:

The requirement in 46 C.F.R. § 545.4(b) that an alleged violation occur on a normal, customary, and continuous basis is meant to assist in determining whether it is a "practice" pursuant to 46 U.S.C. § 41102(c). But the words "normal, customary, and continuous" do not supplant "practice." In *Stockton Elevators*, the Commission described a "practice" as "something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction" *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964).

Mediterranean Shipping Co., S.A. – Possible Violations of the Shipping Act, 46 U.S.C. 41102(c), 40501, and 41104(A)(2)(A), Docket No. 23-08, 2025 WL 708791, at *36-37 (ALJ Feb. 25, 2025). Thus, although the respondent was found to have billed non-operating reefer containers ("NORS") as reefers/refrigerated containers on more than 2,000 occasions, the ALJ held that:

While the specific error, the billing of NORs as reefers, was "often repeated," the fact that it occurred less than a quarter of the time during a limited period means it was not "customary." Nor is there any continuity of action – the error was corrected and the overcharges, except for two incidents identified by OE, stopped. Where admittedly incorrect overcharges occur because of an isolated billing-system error and are then corrected, such overcharges cannot be considered a "practice" for purposes of § 41102(c), regardless of the absolute or relative number of those overcharges.

Mediterranean Shipping, 2025 WL 708791, at *38.

While the evidence demonstrates that COSCO is an ocean common carrier; the alleged illegal conduct is connected with receiving, handling, storing or delivering property; the alleged practice or regulation may have been unjust or unreasonable; and, the alleged practice or regulation in question is the proximate cause of the loss Claimant alleges it suffered - four elements required to demonstrate a section 41102(c) violation (*see* 46 C.F.R. § 545.4) - the failure to demonstrate that the alleged conduct occurred on a "normal, customary, and

continuous” element precludes a finding that COSCO violated section 41102(c). Claimant’s section 41102(c) allegation is, therefore, dismissed.

3. Claimant also Fails to Demonstrate a Section 41102(d)(2) Violation

In addition, Claimant alleges that COSCO’s failure to remit sections 41104(a)(15) and 41104(d)(2) compliant invoices to Claimant constitutes a violation of section 41102(d)(2), which forbids common carriers, acting alone or in conjunction with any other person, directly or indirectly, to:

- (2) resort to any other unfair or unjustly discriminatory action for-
 - (A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has-
 - (i) patronized another carrier; or
 - (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or
 - (B) any other reason.

46 U.S.C. § 41102(d) (2022). Section 41102(d) was promulgated as part of the Ocean Shipping Reform Act of 2022 (“OSRA 2022”), which revised portions of the Shipping Act. Its provisions are similar to pre-OSRA 2022 section 41104(a)(3), which provided: “A common carrier, either alone or in conjunction with any other person directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C 41104(a)(3) (2021).

In a Statement interpreting the provisions of section 41104(a)(3), the Commission noted that the section’s anti-retaliation provision prohibits a carrier from retaliating against a shipper by refusing, or threatening to refuse, cargo space accommodations when available because the shipper patronized another carrier, filed a complaint against the carrier, or for any other reason. In addition, the Commission noted that the provision also prohibits a carrier from resorting to other unfair unjustly discriminatory methods because: the shipper has patronized another carrier; the shipper has filed a complaint, or any other reason. Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 206, 2021 WL 9204128 (FMC Dec. 28, 2021) (“Statement on Retaliation”).

No allegations coinciding with the Commission’s interpretation were made by Claimant, nor does the evidence show that any conduct occurred that would give rise to a violation of section 41102(d). Claimant merely makes a bare allegation that COSCO “took advantage of widespread congestion issues across international and domestic supply chains during the Relevant Period of Time in connection with the D&D charges and decided to implement unreasonable and unfair practices in relation to receiving, handling, storing, or delivering property as prohibited by 46 U.S.C. §§ 41102(c) and (d)(2).” Amended Claim, pg. 2 at no. 10. When invited to elaborate on this allegation Claimant then cited to its allegation that COSCO failed to remit compliant invoices without articulating any specific behavior by COSCO supporting its allegations, for example, in what way specific ways COSCO took advantage of widespread congestion to implement unreasonable and unfair practices. C. Supp. Info pgs. 1-3.

Therefore, Claimant does not allege or provide any evidence showing conduct by COSCO that supports a finding that it violated section 41102(d)(2). Accordingly, Claimant's section 41102(d)(2) is also dismissed.

4. Reparations

As previously noted, failure to include any information required under subsection 41104(d) on a demurrage or detention invoice eliminates any obligation on the billed party to pay the charges on the invoice. *See* 46 U.S.C. § 41104(f); *see also* D&D Final Billing Rule, 2024 WL 756583, at *14335 (stating that 46 U.S.C. 41104(f) “functions to void an invoice if a *single* required element is not included” (emphasis added)).

Here, the invoices for payments #1-3, 5, 7-10, and 12-16 have been found to be invalid; therefore, COSCO must return the monies it received with respect to those payments. The amounts due from COSCO to Bridgewell as reparations are listed below, broken down by payment number – along with the date of Bridgewell's payments:

<i>Payment #s)</i>	<i>Container #</i>	<i>\$ Received by COSCO</i>	<i>Date of Bridgewell's Payment(s)</i>	<i>Cite(s)</i>
1	BEAU6225110	\$544.50	08/09/2022	PFs 15, 20-22
2	CSNU8330251	\$544.50	08/09/2022	PFs 15, 20-22
3	CSNU8457610	\$544.50	08/09/2022	PFs 15, 20-22
5 & 7	FCIU5190259	\$1,507.50	08/18/2022 & 08/22/2022	PFs 15, 20-22
8 & 9	RFCU2129522	\$1,930.50	08/23/2022	PFs 15, 20-22
10	CSNU1343560	\$2,353.50	08/29/2022	PFs 15, 20-22

12	TLLU2636261	\$2,353.50	09/13/2022	PFs 15, 20-22
13	OOLU0191326	\$5,526.00	09/13/2022	PFs 15, 20-22
14	RFCU4103229	\$217.80	09/20/2022	PFs 15, 20-22
15 & 16	OOLU7648409	\$8,806.50	10/6/2022 & 10/10/2022	PFs 15, 20-22
Total		\$24,328.80		

IV. CONCLUSION

Claimant Bridgewell fails to demonstrate that COSCO violated sections 41102(c) and 41102(d) of the Shipping Act; however, Bridgewell successfully demonstrates that COSCO violated sections 41104(a)(15) and 41104(d)(2). It is therefore:

ORDERED that Bridgewell's request for reparations against COSCO be **GRANTED IN PART**. It is

FURTHER ORDERED that COSCO pay reparations to Bridgewell in the amount of \$24,328.80, plus interest as calculated from the date of injury. It is

FURTHER ORDERED that Bridgewell's 41102(c) and (d) claim against COSCO be **DISMISSED WITH PREJUDICE**.

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 Date: 2025.09.29 16:29:23
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 Theresa Dike
 Small Claims Officer